

Validating the entire analysis, as well as that in Chapter 2, is that triangles appear *only* in the fourth wave position. We know, then, that the advance from the low of wave E to the 1966 high was a fifth wave. Accordingly, that was when the uptrend in real U.S. stock values, and therefore social mood, and therefore economic and social health, ended. As *The Elliott Wave Theorist* concluded in 1982, "This [analysis] argues eloquently that a 'Grand Supercycle' advance has ended and that a long corrective process is underway that will serve to balance the period of expansion with a period of contraction of the same large degree."

In comparing Figure 3-1 with Figure 2-1, notice that except for the deflationary 1870s and 1880s, the wave structure of the actual Dow Jones Industrial Average parallels that of the inflation-adjusted Dow very closely until about 1942, after which time a highly inflationary environment affected the patterns very differently. For instance, while the actual DJIA held above its 1974 low, the inflation-adjusted Dow continually fell to new lows for eight more years, ultimately falling 74.76%. It was making further new lows in 1982 when Figure 3-1 was published, yet the position of this measure at the time was unquestionable: The decline from the 1966 high was wave A of a large corrective pattern, and stocks were on the verge of a major rally for wave B. The forecast published at the time is crucial to understanding today's situation, so read it carefully. In January-February 1982, when wave A of the bear market was just months from its final low after sixteen years of decline, *The Elliott Wave Theorist* concluded as follows:

From 1966, the constant dollar Dow Jones Industrial Average and the real standard of living of most Americans has been in wave A of a large corrective process. *A clear five-wave downward Elliott pattern from the 1965 peak appears to be in its final stage.* Thus, the next few years could witness a countertrend three wave ("a-b-c") rally in *real* terms that should translate into a dramatic "breakout" in the Dow Industrial Average to new all-time highs in *current dollar* terms. Such an advance would satisfy the Dow's wave count from 1932 based on nominal dollars by letting it complete its fifth Cycle wave from 1974.

[It is] most important that in 1979, the plot of the constant-dollar price for the Dow Industrial Average sliced down through a support line that has held all downside action for over two hundred years. [This break] indicates that the brisk rate of long term